H&R Block (NYSE: HRB)

HYPOTHETICAL PUBLIC-TO-PRIVATE ACQUISITION | Investment Committee Memorandum | 22 October 2026

RECOMMENDATION PASS at the proposed 25% equity premium. The modeled 16.7% base-case five-year gross sponsor IRR is below a 20.0% illustrative investment hurdle.

Executive assessment

H&R Block offers a mature, high-cash-conversion tax preparation franchise with low capital expenditure needs and a resilient client-service proposition. Fiscal 2026 revenues grew 4.9% to $3.95bn and EBITDA from continuing operations reached $1.057bn. However, borrowing costs, a 25% acquisition premium, and uncertain long-run client/price dynamics constrain sponsor economics. This is an attractive business at an unattractive modeled take-private price—not an investable transaction under the stated hurdle.

Underwriting metric	Base-case assumption / result	Why it matters
Unaffected share price / proposed offer	$50.08 / $62.60	25.0% equity premium
Purchase equity value / enterprise value	$7.72bn / $8.25bn	7.81x FY2026 EBITDA
Opening first-lien debt / notes	$3.17bn / $1.59bn	4.5x opening EBITDA total
Sponsor equity invested	$4.21bn	42.4% of total uses
FY2031 EBITDA / exit multiple	$1.36bn / 7.5x	Underwriting inputs
FY2031 sponsor proceeds	$9.11bn	After $2.21bn debt, plus $1.10bn cash
Gross sponsor returns	2.16x MOIC / 16.7% IRR	Below 20% hurdle

Transaction mechanics

Assumed acquisition date: after the FY2026 reporting period, with five modeled fiscal years (FY2027–FY2031). The sponsor pays an illustrative 25% premium to HRB's October 22, 2026 closing price; refinances $1.49bn of disclosed financial debt; and capitalizes $500mm of opening operating cash. Financing comprises a 3.0x EBITDA term loan at 8.5% cash interest and a 1.5x EBITDA senior-note tranche at 9.5%, with assumed issuance and advisory fees. The opening $959mm cash balance is included among acquisition sources; realizability and operating liquidity require confirmatory diligence.

Readout: The deal is not being proposed to H&R Block or funded by any lender. All purchase premiums, terms, operating forecasts, and multiples are illustrative. Return figures are gross of carried interest and fund fees.

1 / Business quality and underwriting

- **Structural demand.** Tax compliance is an annual obligation; expert-assisted services can retain value for customers with complex returns. HRB prepared 11.3mm assisted U.S. returns and its clients filed 3.6mm paid DIY online returns in FY2026.
- **Cash conversion.** FY2026 operating cash flow was $838.7mm and capex $82.6mm, yielding ~$756.1mm reported free cash flow. These are consolidated annual figures, not a normalized run-rate after a leveraged acquisition.
- **Market-facing risks.** FY2026 U.S. assisted revenue increased 6.1%, but total assisted returns were roughly flat. DIY competition, automation, pricing sensitivity, and tax policy could compress the franchise moat.

2 / Five-year operating plan

Operating driver	FY2026 actual	FY2027 base	FY2031 base
Revenue	$3,945mm	$4,135mm	$4,837mm
EBITDA	$1,057mm	$1,125mm	$1,364mm
EBITDA margin	26.8%	27.2%	28.2%
Cash interest	~$81mm	$420mm	~$258mm*
Closing gross debt	~$1,491mm	$4,364mm	$2,213mm
Closing modeled cash	$959mm	$590mm	$1,096mm

*FY2031 interest calculated on beginning-of-year first-lien and senior-note balances; see workbook for exact interest schedule.

Base FY2027 revenue and EBITDA use the midpoints of company guidance ($4.11–$4.16bn revenue; $1.11–$1.14bn adjusted EBITDA). Thereafter revenue grows 4% annually; forecast EBITDA margin increases to 28.2% in FY2031. Capital spending is projected at 2.1% of sales and incremental working-capital investment at 1.5% of the annual revenue increase. Normalized cash taxes use a 23% rate. Historical FY2026 EBITDA is the company-reconciled continuing-operations measure; FY2027 guidance is adjusted EBITDA, a comparability qualification.

3 / Operating value-creation agenda

- **Client retention and cross-sell.** Improve assisted repeat rates and migrate complex clients into advisory offerings. Validate cohorts, attach rates, and revenue per return before assigning synergies.
- **Digital unit economics.** Improve conversion and retention in paid DIY, automated workflows, and Wave subscriptions without discount-led deterioration in contribution margin.
- **Cash discipline.** Limit unproductive store and overhead spending while protecting service quality, cybersecurity, and seasonal capacity. Prioritize debt reduction rather than relying on multiple expansion.

4 / Key risk exposure

- **Seasonality and liquidity.** Most tax-season collections occur February–April; a June 30 cash balance is not a substitute for monthly revolver borrowing requirements and minimum liquidity tests.
- **Regulatory and competitive risk.** Changes to federal tax preparation rules, free filing alternatives, DIY competition, price elasticity, and consumer willingness to pay may impair volumes and realized margins.
- **Underwriting risk.** A 7.5x exit multiple and stable cash sweep assumptions are not guaranteed. Credit covenants, available cash, refinancing costs, and tax deductibility may change returns.

5 / Return distribution and deal guardrails

Scenario	FY2031 EBITDA	Exit EV / EBITDA	Gross MOIC	5-year gross IRR
Downside	$1,068mm	6.0x	1.09x	1.8%
Base	$1,364mm	7.5x	2.16x	16.7%
Upside	$1,591mm	9.0x	3.25x	26.6%

Base case FY2031 exit enterprise value is $10.23bn. After $2.21bn of remaining financial debt and adding $1.10bn of modeled cash, sponsor exit equity is $9.11bn. Against $4.21bn of sponsor invested capital, that produces 2.16x MOIC / 16.7% annualized IRR. Using the same base-case operating forecast and debt trajectory, a premium of roughly 16.5% rather than 25% would meet a 20% IRR target; the workbook sensitivity table shows the return-versus-premium and exit-multiple tradeoff.

6 / Required diligence before revisiting

- **Customer cohorts.** Retention by assisted/DIY segment, net realized fee per return, aging franchise mix, channel profitability.
- **Tax season cash.** 13-week and 12-month liquidity forecasts, availability of cash held abroad, revolver peak drawings, borrowing-base and covenants.
- **Debt & tax.** Credible lender pricing and total leverage tolerance, tax deductibility of interest, change-of-control obligations, contingent claims.
- **Competition & regulation.** TurboTax and smaller digital competitors, IRS free-file policy durability, pricing regulation, cybersecurity exposure.
- **Management plan.** Store-level operating leverage, productivity investments, Wave economics, one-time restructuring costs and customer impact.
- **Exit.** Public and private trading comparables, buyer universe, minority investor appetite, viable recapitalization or IPO paths.

Final IC recommendation

PASS at the modeled 25% offer premium. Reopen only with a reduced effective enterprise value, verifiable incremental EBITDA or cash generation, and fully underwritten seasonal-liquidity/credit capacity. At present the base return misses the hurdle and downside expected equity returns are unappealing for a leveraged acquisition.

Methodology and source notes

All dollar figures are USD millions unless stated otherwise. Historicals: H&R Block FY2026 Form 10-K filed August 14, 2026. FY2027 guidance: August 11, 2026 company results release. Market reference: HRB closing price October 22, 2026 ($50.08), and share count 123.27mm from StockAnalysis. Forecast financial performance, financing assumptions, cash availability and exit multiples are illustrative. The model omits an intrayear revolver, some purchase-accounting impacts, fees/carry, lease debt capitalization and detailed tax/working-capital timing.

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